Approvals for fees of directors

230. (1) The fees of the directors, and any benefits payable to the directors including any compensation for loss of employment of a director or former director—

(a) of a public company; or

(b) of a listed company and its subsidiaries, shall be approved at a general meeting.

(2) In the case of a private company, the Board may, subject to the constitution approve the fees of the directors and any benefits payable to the directors including any compensation for loss of employment of a director or former director.

(3) Any approval made under subsection (2) shall be recorded in the minutes of the directors' meeting and the Board shall notify the shareholders of the approval of the fees within fourteen days from the date of the approval.

(4) Where a fee is made or other benefits payable to which subsection (2) applies, members holding at least ten per centum of the total voting rights and who consider that the payment was not fair to the company, within thirty days after they have knowledge of such payments, may require the company to pass a resolution to approve the payment either by way of a written resolution or at a general meeting.

(5) Unless an approval has been obtained through a resolution passed under subsection (4), the payment shall constitute a debt due by the director to the company.

(6) A company that contravenes subsection (1) commits an offence and shall, on conviction, be liable to a fine not exceeding three million ringgit and any payment in contravention of subsection (1) shall constitute a debt due by the director to the company.

(7) The company and every officer who contravene subsection (3) commit an offence and shall, on conviction, be liable to a fine not exceeding two hundred and fifty thousand ringgit.

Directors' service contracts

231. (1) For the purposes of this Division, a director's "service contract" in relation to a public company means a contract under which—

(a) a director of the company undertakes personally to perform services, as a director or otherwise for the public company or for a subsidiary of the public company; or

(b) services that a director of the public company undertakes personally to perform as director or otherwise are made available by a third party to the public company, or to a subsidiary of the public company.

(2) The provisions of this Division relating to directors' service contracts shall—

(a) be applicable to the terms of a person's appointment as a director of a public company; or

(b) not be restricted to contracts for the performance of services outside the scope of the ordinary duties of a director.

Copy of contracts to be available for inspection

232. (1) Subject to section 233, a public company shall keep and maintain a copy of every director's service contract with the company or with its subsidiaries available for inspection.

(2) All the copies of contracts shall be kept available for inspection at the registered office of the company.

(3) The copies of contracts shall be made available for inspection for at least one year from the date of termination or expiry of the contract.

(4) The company shall give notice to the Registrar—

(a) of the place at which the copies of the contracts are kept available for inspection; and

(b) of any change in that place,

unless the copies of the contracts have at all times been kept at the registered office of the company.

(5) The company and every officer who contravene subsection (1), (2) or (3) commit an offence and shall, on conviction, be liable to a fine not exceeding one million ringgit.

(6) This section shall apply to a variation of a director's service contract as is applicable to the original contract.

Right of member to inspect and request copy

233. (1) Every copy of the contract required to be kept under section 232 shall be made available for inspection by—

(a) in the case of a public company having share capital, by members holding at least five per centum of the total paid up capital; or

(b) in the case of a public company not having share capital, by at least ten per centum of members.

(2) Subject to subsection (1), the members so entitled to inspect on request and on payment of such fee as may be prescribed shall be entitled to be provided with a copy of any such contract.

(3) The copy shall be provided within seven days from the date the request is received by the company.

(4) Every officer who refuses a request for inspection under subsection (1) or contravenes subsection (2) commits an offence and shall, on conviction, be liable to a fine not exceeding two hundred and fifty thousand ringgit.

(5) In the case of any such refusal or default, the Court may, by order, compel an immediate inspection or, as the case may be, direct that the copy required be sent to the person requiring it.

Contract with sole member who is also a director

234. (1) This section applies where—

(a) a limited company having only one member enters into a contract with the sole member;

(b) the sole member is also a director of the company; and

(c) the contract is not entered into in the ordinary course of the company's business.

(2) The company shall, unless the contract is in writing, ensure that the terms of the contract are duly recorded in the minutes of the meeting of the directors that immediately after the making of the contract.

(3) This section shall be in addition to and not in derogation of any other law applying to contracts between a company and a director of the company.

(4) The company and every officer who contravenes this section commit an offence and shall, on conviction, be liable to a fine not exceeding one million ringgit.

Subdivision 4

Secretary

Requirement for a secretary

235. (1) A company shall have at least one secretary who shall be—

(a) a natural person;

(b) eighteen years of age and above; and

(c) a citizen or permanent resident of Malaysia,

who shall ordinarily reside in Malaysia by having a principal place of residence in Malaysia.

(2) A secretary shall be—

(a) a member of a body as set out in the Fourth Schedule; or

(b) a person licensed by the Commission under section 20G of the Companies Commission of Malaysia Act 2001.

(3) For the purposes of paragraph (2)*(a)*, the Minister may prescribe any professional body or any other body by notification in the *Gazette* and may impose any terms and conditions as he thinks fit.

(4) The company and every director who contravene this section commit an offence.

Appointment of a secretary

236. (1) The Board shall appoint a secretary and determine the terms and conditions of such appointment.

(2) Notwithstanding subsection (1), the appointment of the first secretary shall be made within thirty days from the date of incorporation of a company.

(3) No person shall be appointed as a secretary unless—

(a) he has consented in writing to be appointed as a secretary;

(b) he is qualified under subsection 235(2); and

(c) he is not disqualified under section 238.

(4) The company and every person who contravene this section commit an offence.

Resignation of a secretary

237. (1) Subject to the constitution or the terms of appointment, a secretary may resign from his office by giving a notice to the Board.

(2) If none of the directors of the company can be communicated with at the last known residential address, the secretary may, notwithstanding subsection 235(1), notify the Registrar of that fact and of his intention to resign from the office.

(3) The secretary shall cease to be the secretary of the company—

(a) on the expiry of thirty days from the date of the notice lodged under subsection (1) or the period specified in the constitution or the terms of appointment, as the case may be; or

(b) on the expiry of thirty days from the date of the notice to the Registrar under subsection (2).

(4) Nothing in subsections (1) and (2) shall relieve the secretary from liability for any act or omission done before the secretary vacated that office.

Disqualification to act as a secretary

238. (1) A person shall be disqualified to act as a secretary if—

(a) he is an undischarged bankrupt;

(b) he is convicted whether in or outside Malaysia of any offence referred to in section 198; or

(c) he ceases to be a holder of a practicing certificate issued by the Registrar under section 241.

(2) Notwithstanding subsection (1), if the Registrar is of the opinion that a person has failed to act honestly or use reasonable diligence in the discharge of his duties as a secretary, the Registrar may require the person to show cause why his practising certificate should not be revoked or why he should not be disqualified from acting as a secretary of a company.

(3) If a person continues to act as a secretary for a company after the person is disqualified under this section without leave of the Court, the secretary and every director who knowingly permits the person to act in that capacity commit an offence.

Removal of a secretary

239. The Board may remove a secretary from his office in accordance with the terms of appointment or the constitution.

Office of secretary shall not be left vacant

240. The office of the secretary of a company shall not be left vacant for more than thirty days at any one time.

Requirement to register with Registrar

241. (1) Any person who is qualified to act as a secretary and who desires to act as a secretary shall be registered under this section before he can act as a secretary.

(2) The Registrar shall cause a register of secretaries to be kept and shall cause to be entered in the register in relation to a secretary—

(a) the name of the secretary;

(b) the residential address and business address of the secretary;

(c) the details of the qualifications referred to in subsection 235(2); and

(d) such other information as the Registrar may require.

(3) The Registrar, before registering such person, may—

(a) require him to produce any evidence to his satisfaction of the qualification as stated under subsection 235(2); or

(b) impose any other conditions that he deems fit.

(4) If the requirements under subsection (3) are satisfied, the Registrar shall—

(a) enter the particulars in the register of secretaries; and

(b) issue a practising certificate in such form as the Registrar may determine.

(5) On or after the commencement of this Act, a person who is a secretary of a company and who is not registered under subsection (1) may continue to act as a secretary to the company for a period of not more than twelve months or any longer period as the Registrar may allow.

(6) After the expiry of the period referred to in subsection (5), a person who fails to comply with the requirement to register shall be deemed to have not been registered under this section.

(7) The Minister shall have the power to make regulations on any matters relating to any practicing certificate issued under this section.

(8) Any person who contravenes subsection (1) commits an offence.

Prohibition to act in dual capacity

242. A person is prohibited to act in a dual capacity as both a director and a secretary in a situation that requires or authorizes anything to be done by a director and a secretary.

Division 3

Accounts and Audit

Subdivision 1

Financial Statements and Report

Interpretation

243. For the purposes of this Division—

"approved accounting standards" has the meaning assigned to it in section 2 of the Financial Reporting Act 1997 [*Act 558*];

"subsidiary", except for section 246 has the meaning assigned to it in the approved accounting standards issued by the Malaysian Accounting Standards Board established under the Financial Reporting Act 1997.

Compliance with approved accounting standards

244. (1) The approved accounting standards shall apply to the financial statements of a company or the consolidated financial statements of a holding company if, at the time when the financial statements or consolidated financial statements are made out, the approved accounting standards—

(a) apply in relation to the financial year of the company or the holding company to which the financial statements or consolidated financial statements relate; and

(b) are relevant to those financial statements or consolidated financial statements.

(2) Without prejudice to the generality of the provisions of this Subdivision, the directors of a company shall ensure that the financial statements of the company and, if the company is a holding company for which consolidated financial statements are required, the consolidated financial statements of the company are made out in accordance with the applicable approved accounting standards and shall—

(a) in the case of a public company, be circulated to its members and laid before the company at its annual general meeting; or

(b) in the case of a private company, be circulated to its members or laid before the company at a meeting of members.

(3) Notwithstanding subsection (2), the directors of a company or holding company shall not be required to ensure that the financial statements or consolidated financial statements, as the case may be, are prepared in accordance with the approved accounting

standards if the directors are of the opinion that preparing the financial statements or consolidated financial statements in accordance with the approved accounting standard would not give a true and fair view—

(a) of the matters required under section 249 to be dealt with in the financial statements or consolidated financial statements; or

(b) of the results of the business and the state of affairs of the company and, if applicable, of all the companies the affairs of which are dealt with in the consolidated financial statements.

(4) If the financial statements of a company or consolidated financial statements of a holding company are not prepared in accordance with a particular approved accounting standard under subsection (3), the directors of the company shall—

(a) disclose by way of a note on the financial statements the reason for not making out the financial statements or consolidated financial statements in accordance with the approved accounting standards; and

(b) give particulars in the note of the quantified financial effect on the financial statements or consolidated financial statements if the relevant approved accounting standards was complied with.

(5) Notwithstanding anything in this Act, if financial statements are required to be prepared for or lodged with the authorities referred to in section 26D of the Financial Reporting Act 1997, those financial statements shall be prepared in accordance with the approved accounting standards subject to any specifications, guidelines or regulations as may be issued by the authorities.

(6) The information in the accounts or consolidated accounts of persons reporting to the authorities as referred to in section 26D of the Financial Reporting Act 1997 shall be deemed to have complied with the requirements of this Division if the financial statements are made out in accordance with that law.

(7) If a conflict or inconsistency arises between the provisions of an applicable approved accounting standard and this Act in their respective applications to the financial statements of a company or consolidated financial statements of a holding company, the provisions of the applicable approved accounting standard shall prevail.

Accounts to be kept

245. (1) A company, the directors and managers of a company shall—

(a) cause to be kept the accounting and other records to sufficiently explain the transactions and financial position of the company and enable true and fair profit and loss accounts and balance sheets and any documents required to be attached thereto to be prepared; and

(b) cause the accounting and other records to be kept in a manner as to enable the accounting and other records to be conveniently and properly audited.

(2) A company, the directors and managers of a company shall cause appropriate entries to be made in the accounting and other records within sixty days of the completion of the transactions to which the entries relate.

(3) The company shall retain the records referred to in subsection (1) for seven years after the completion of the transactions or operations to which the entries relate.

(4) The records referred to in subsection (1) shall be kept at the registered office of the company or at such other place as the directors think fit, and shall at all times be open for inspection by the directors.

(5) Notwithstanding subsection (4), the accounting and other records of operations outside Malaysia may be kept by the company at a place outside Malaysia provided that such accounting and other records shall be sent to and kept at a place in Malaysia and be made available for inspection by the directors at all times.

(6) The accounting and other records referred to in subsection (5) shall include such statements and returns with respect to the business dealt with in the records so kept as to enable the preparation of true and fair financial statements and any documents required to be attached to the financial statements.

(7) If any accounting and other records are kept at a place outside Malaysia under subsection (4) or (5), the Registrar may require the company to produce those records at a place in Malaysia or determine the type and manner of the records to be kept in Malaysia.

(8) The Court may, in any particular case, order that the accounting and other records of a company be open to inspection by an approved company auditor acting for a director, subject to a written undertaking given to the Court that information acquired by the auditor during his inspection shall not be disclosed by him except to that director.

(9) The company and every officer who contravene this section commit an offence and shall, on conviction, be liable to a fine not exceeding five hundred thousand ringgit or to imprisonment for a term not exceeding three years or to both.

System of internal control

246. (1) The directors of a public company or a subsidiary of a public company shall have in place a system of internal control that will provide a reasonable assurance that—

(a) the assets of the company are safeguarded against loss from unauthorized use or disposition and to give a proper account of the assets; and

(b) all transactions are properly authorized and that the transactions are recorded as necessary to enable the preparation of true and fair view of the financial statements of the company.

(2) Any director who contravenes this section commits an offence and shall, on conviction, be liable to imprisonment for a term not exceeding three years or a fine not exceeding one million ringgit or to both.

Accounting periods of companies within the same group

247. (1) Subject to subsections (10), (11) and (12), the directors of every holding company that is not a foreign company shall take such necessary steps to ensure that within two years after any corporation becomes a subsidiary of the holding company, the financial year of that corporation coincides with the financial year of the holding company.

(2) Where the financial year of a holding company that is not a foreign company and that of each of its subsidiaries coincide, the directors of the holding company shall at all times take necessary steps to ensure that the financial year of the holding company or any of its subsidiaries is not altered so that all the financial years do not coincide with the holding company unless the consent of the Registrar is obtained.

(3) If the directors of the holding company are of the opinion that there is good reason why the financial year of any of its subsidiaries should not coincide with the financial year of the holding company, the directors may apply in writing to the Registrar for an order authorizing any subsidiary to continue to have or to adopt, as the case requires, a financial year which does not coincide with that of the holding company.

(4) The application shall be supported by a statement by the directors of the holding company stating their reasons for seeking the order.

(5) The Registrar may require the directors who make an application under this section to supply any information relating to the operation of the holding company and of any corporation that is deemed by virtue of section 7 to be related to the holding company as he thinks necessary for the purpose of determining the application.

(6) In determining the application, the Registrar, may at the expense of the holding company of which the applicants are directors, request any approved company auditor to investigate and report on the application.

(7) The Registrar may make an order granting or refusing the application or granting the application subject to such limitations, terms or conditions as he thinks fit and shall serve the order on the holding company.

(8) The applicants aggrieved by any order made by the Registrar may appeal against the order to the Minister within two months after the service of the order on the holding company.

(9) The Minister shall determine the appeal and in determining the appeal, may make any order that the Registrar had power to make on the original application and may exercise any of the powers that the Registrar may have exercised in relation to the original application.

(10) If the directors of a holding company have applied to the Registrar for an order authorizing any subsidiary to continue to have a financial year which does not coincide with that of the holding company, the operation of subsection (1) shall be suspended in relation to that subsidiary until the determination of the application and of any appeal arising out of the application.

(11) Where an order is made authorizing any subsidiary to have a financial year which does not coincide with that of the holding company, compliance with the terms of the order of the Registrar or where there has been an appeal, compliance with the terms of any order made on the determination of the appeal shall be deemed to be a compliance with subsection (1) in relation to that subsidiary.

(12) Where an application for an order to authorize any subsidiary to have a financial year which does not coincide with that of the holding company and the appeal, if any, arising out of that application are refused, the time within which the directors of the holding company are required to comply with subsection (1) in relation to that subsidiary shall be deemed to be the period of twelve months after the date upon which the order of the Registrar is served on the holding company or the period of twelve months after the determination of the appeal, as the case may be.

(13) Where the directors of a holding company have applied to the Registrar for an order authorizing any of its subsidiaries to continue to have or to adopt a financial year which does not

coincide with that of the holding company and the application and the appeal, if any, arising out of that application, has been refused, the directors of the holding company shall not make a similar application with respect to that subsidiary within three years after the refusal of the application or where there is an appeal, after the determination of that appeal unless the Registrar is satisfied that there has been a substantial change in the relevant facts or circumstances since the refusal of the former application or the determination of the appeal, as the case may be.

(14) Any director who contravenes this section commits an offence.

Directors shall prepare financial statements

248. (1) The directors of every company shall prepare financial statements—

(a) within eighteen months from the date of its incorporation; and

(b) subsequently, within six months of its financial year end.

(2) The financial statements referred to in subsection (1) shall be duly audited before the financial statements are sent to every member under section 257 or, in the case of a public company, sent to every member under section 257 and laid before an annual general meeting under section 340.

(3) Any director of the company who contravenes this section commits an offence and shall, on conviction, be liable to a fine not exceeding five hundred thousand ringgit or imprisonment for a term not exceeding one year or both.

General requirements for financial statements

249. (1) The annual financial statements for a financial year shall give a true and fair view of the financial position as at the end of the financial year and the financial performance for the financial year of the company.

(2) The annual consolidated financial statements for a financial year shall—

(a) give a true and fair view of the financial position of the company and all its subsidiaries which are dealt with in the consolidated financial statements as a whole at the end of the financial year; and

(b) give a true and fair view of the financial performance of the company and all its subsidiaries which are dealt with in the consolidated financial statements as a whole for the financial year.

(3) For the purposes of this Division, the Registrar may require additional information as he deems fit apart from the information required by the authorities referred to in section 26D of the Financial Reporting Act 1997 in the financial statements of persons reporting to such authorities as referred to in subsection 244(6).

(4) Notwithstanding any relevant provisions of the applicable approved accounting standards, the financial statements shall contain, in the notes to the statements, the information as the Registrar may determine and may include but not limited to the following:

(a) the directors' remuneration;

(b) the directors' retirement benefits;

(c) compensation to directors for loss of office;

(d) loans, quasi-loans and other dealings in favour of directors;

(e) the total of the amount paid to or receivable by the auditors as remuneration for their services as auditors, inclusive of all fees, percentages or other payments or consideration given by or from the company or by or from any subsidiary of the company.

(5) Any document, other than financial statements prepared in accordance with this Act or advertisement published, issued or circulated by or on behalf of a company, other than a banking

corporation, shall not contain any direct or indirect representation that the company has any reserve unless the representation is accompanied—

(a) if the reserve is invested outside the business of the company, with a statement showing the manner in which it is invested and the security for such investment; or

(b) if the reserve is being used in the business of the company, with a statement to the effect that the reserve is being so used.

(6) Where a company licensed under any written law relating to insurance or takaful is required to prepare financial statements in the form prescribed by that law, the company shall be deemed to have complied with the requirements of the approved accounting standards if its financial statements are prepared in accordance with that law.

(7) If the company carries on business other than insurance or takaful business so far as that law does not require the company to deal with any matters which are required to be dealt with under approved accounting standards, the company shall comply with this section and the approved accounting standards.

(8) A holding company of any company licensed under any written law relating to insurance or takaful shall be deemed to have complied with the requirements of the approved accounting standards relating to the preparation of its financial statements provided that it carries no other business except as the holding company.

Subsidiaries to be included in consolidated financial statements

250. (1) The consolidated financial statements for a financial year shall include all the subsidiaries of a company.

(2) Where the consolidated financial statements do not deal with a subsidiary of a company, the directors shall disclose by way of a note on the financial statements the reason for not causing the financial statements for such one or more subsidiaries to be consolidated.

(3) In the case of a subsidiary incorporated in a country outside Malaysia, whether it has or has not established a place of business in Malaysia, which country has been declared by the Minister by notification published in the *Gazette* to be a country to which this section applies, it shall be sufficient if the separate profit and loss account or balance sheet, as the case may require, of the subsidiary is in such form and is so reported upon by auditors and contains such particulars and includes such documents, if any, as the company is required to make out and lay before the company in a general meeting in accordance with the law for the time being applicable to the company in the place where it is incorporated.

(4) For the purposes of subsection (1), the holding company shall have the power to request all relevant information from its subsidiaries to secure compliance under this section.

(5) Any director who fails to take all reasonable steps to secure compliance under subsection (1) commits an offence.

Financial statements to be approved by the Board

251. (1) Financial statements shall be—

(a) approved by the Board; and

(b) accompanied with a statutory declaration by a director or where the director is not primarily responsible for the financial management of the company, by the person responsible in setting forth his opinion as to the correctness or otherwise of the financial statements and where applicable, the consolidated financial statements.

(2) The directors shall make a statement in accordance with the resolution of the Board stating whether in their opinion the financial statements or where applicable the consolidated financial statements is or are drawn up, in accordance with the applicable accounting standards, to give a true and fair view of the financial position and financial performance of the company and of the group.

(3) The statement referred to in subsection (2) shall be signed by at least two directors and in the case of a sole director, by that director, and to be attached to the financial statements for circulation in accordance with section 257.

(4) In respect of any financial statements a copy of which is circulated, published or issued by a company, the company and every officer who contravene this section commit an offence and shall, on conviction, be liable to a fine not exceeding five hundred thousand ringgit or imprisonment not exceeding one year or to both.

Directors shall prepare directors' report

252. (1) The directors of a company shall prepare for each financial year a report and such report shall be attached to the financial statements prepared under section 248.

(2) A directors' report—

(a) shall be approved by the Board; and

(b) shall be signed on the directors' behalf by at least two directors, or in the case of a single director, that director.

(3) Every copy of directors' report laid before a company in an annual general meeting under section 340, or sent to a member under section 257 or otherwise circulated, published or issued by the company shall state the name of the person who signed the report on the directors' behalf.

(4) Any director who fails to take all reasonable steps to secure compliance under subsection (1) commits an offence and shall, on conviction, be liable to a fine not exceeding five hundred thousand ringgit or imprisonment not exceeding one year or to both.

(5) The company and every officer who contravene subsection (2) commit an offence and shall, on conviction, be liable to a fine not exceeding twenty thousand ringgit.

Contents of directors' report

253. (1) A directors' report for a financial year in relation to a company shall contain—

(a) the name of every person who was a director of the company—

(i) during the financial year; and

(ii) during the period commencing from the end of the financial year and ending on the date of the report;

(b) the principal activities of the company in the course of the financial year including its subsidiaries; and

(c) the matters set out in the Fifth Schedule.

(2) This section shall have effect in relation to a directors' report required to be prepared under section 252 as if a reference to the company in subsection (1) or (2) were a reference to—

(a) the company; and

(b) the subsidiary undertakings included in the consolidated financial statements for the financial year.

(3) The directors' report prepared under section 252 may include a business review as set out in Part II of Fifth Schedule or any other reporting as prescribed.

Form and content of directors' report and financial statement of a banking corporation, *etc.*

254. The provisions of this Act relating to the form and content of the report of the directors and the financial statements for a financial year shall apply to a licensed institution with such modifications and exceptions as are determined either generally or in any particular case by the Central Bank of Malaysia.

Relief from requirements as to form and content of financial statements and directors' report

255. (1) The directors of a company may apply to the Registrar in writing for an order relieving the directors from any requirement of this Act relating to the form and content of the financial statements or consolidated financial statements or to the form and content of the directors' report required under sections 252 and 253 and the Registrar may make such an order either unconditionally or on condition that the directors comply with such other requirements relating to the form and content of the financial statements or consolidated financial statements or directors' report as the Registrar thinks fit to impose.

(2) The application for a relief order under subsection (1) shall not be granted if the Registrar is of the opinion that the order is not consistent with the approved accounting standards.

(3) The Registrar may where he considers it appropriate make an order in respect of any class of companies relieving the directors of a company in that class from compliance with any specified requirements of this Act relating to the form and content of financial statements or consolidated financial statements or to the form and content of the directors' report required by sections 252 and 253.

(4) The order under subsection (3) may be made either unconditionally or on condition that the directors of the company comply with such other requirements relating to the form and content of financial statements or consolidated financial statements or directors' report as the Registrar thinks fit to impose.

(5) The Registrar shall not make an order under subsection (1) unless he is of the opinion that compliance with the requirements of this Act would—

(a) render the financial statements or consolidated financial statements or directors' report, as the case may be, misleading or inappropriate to the circumstances of the company; or

(b) impose unreasonable burdens on the company or any officer of the company.

(6) The Registrar may make an order under subsection (1) or (2) which may be limited to a specific period and may make a decision to vary, suspend or revoke any such order on the application by the directors or without any such application, in which case the Registrar shall give to the directors an opportunity to be heard.

Power of Registrar to require a statement of valuation of assets

256. (1) The Registrar may, with notice in writing, require the directors of any company to supply a statement of valuation at current value of assets and liabilities of the company within the time specified in the notice.

(2) The Registrar may, on the application of the company, extend the period of time specified in the notice referred to in subsection (1), if he considers appropriate.

Duty to circulate copies of financial statements and reports

257. (1) Every company shall send a copy of its financial statements and reports for each financial year to—

(a) every member of the company;

(b) every person who is entitled to receive notice of general meetings;

(c) every auditor of the company; and

(d) every debenture holder of the company on a request being made to the company.

(2) Copies of the financial statements and reports shall be sent to the last known address provided to the company.

(3) Any member or debenture holder to whom copies of the financial statements and reports have not been sent shall, on a request being made by the member or debenture holder to the company be furnished with such copies without charge.

(4) The company and every officer who contravene this section commit an offence and shall, on conviction, be liable to a fine not exceeding fifty thousand ringgit.

Time allowed for sending out copies of financial statements and reports

258. (1) The circulation of financial statements and reports—

(a) for a private company, shall be within six months of its financial year end; and

(b) for a public company, shall be at least twenty-one days before the date of its annual general meeting.

(2) In relation to a public company, the financial statements and reports may be circulated at a shorter period if it was agreed by all the members entitled to attend and vote at the annual general meeting.

(3) The company and every officer who contravene this section commit an offence and shall, on conviction, be liable to a fine not exceeding fifty thousand ringgit and, in the case of a continuing offence, to a further fine not exceeding five hundred ringgit for each day during which the offence continues after conviction.

Duty to lodge financial statements and reports with the Registrar

259. (1) A company shall lodge with the Registrar for each financial year the financial statements and reports required under this Act—

(a) in the case of a private company, within thirty days from the financial statements and reports are circulated to its members under section 258;

(b) in the case of a public company, within thirty days from its annual general meeting; and

(c) all amounts shown in the financial statements and reports lodged with the Registrar shall be quoted in Malaysian currency, and if such financial statements and reports are in a language other than the national language or English language, there must be annexed to such financial statements and reports a translation in the national language or English language certified to be a correct translation in the manner to be determined by the Registrar.

(2) If an application for extension is made before the expiry of the period referred to in paragraph 1*(a)* or *(b)*, the Registrar may, as he considers fit, extend the period to such period as specified in the notice of extension.

(3) Every officer who contravenes this section commits an offence and shall, on conviction, be liable to a fine not exceeding fifty thousand ringgit and, in the case of a continuing offence, to a further fine not exceeding one thousand ringgit for each day during which the offence continues after conviction.

(4) For the purposes of this section, "financial statements and reports" includes "consolidated financial statements and reports" in cases of holding companies.

Duty to lodge certificate relating to exempt private company

260. (1) An exempt private company may lodge with the Registrar for each financial year a certificate relating to its status as an exempt private company in lieu of the requirements in paragraph 259(1)*(a)* within thirty days from the circulation of the financial statements and reports are circulated under section 258.

(2) The certificate shall be signed by a director, auditor and secretary of the company confirming that—

(a) the company is and has at all relevant times been an exempt private company;

(b) a duly audited financial statements and reports required under this Act has been circulated to its members; and

(c) as at the date to which the financial statement has been made up, the company appeared to have been able to meet its liabilities as and when the liabilities fall due.

(3) The company and every officer who contravene this section commit an offence and shall, on conviction, be liable to a fine not exceeding twenty thousand ringgit and, in the case of a continuing offence, to a further fine not exceeding one thousand ringgit for each day during which the offence continues after conviction.

Auditor's statements

261. (1) A company that is not required by this Act to lodge financial statements with the Registrar shall lodge with the Registrar a statement relating to the financial statements of the company required to be circulated to its members, signed by the auditor of the company—

(a) stating whether the company has in his opinion kept proper accounting records and other books during the period covered by those accounts;

(b) stating whether the financial statements have been audited in accordance with this Act;

(c) stating whether the auditor's report on the financial statements was made subject to any qualification or opinion under any applicable auditing standards, or included any comment made under subsection 266(3) and, if so, particulars of the qualification or comment; and

(d) stating whether as at the date to which the financial statement has been made up, the company appeared to have been able to meet its liabilities as and when the liabilities fall due.

(2) The company and every officer who contravene this section commit an offence and shall, on conviction, be liable to a fine not exceeding twenty thousand ringgit and, in the case of a continuing offence, to a further fine not exceeding one thousand ringgit for each day during which the offence continued after conviction.

Subdivision 2

Auditors

Definition of "outgoing auditor"

262. For the purpose of this Subdivision, "outgoing auditor" means an auditor whose term of office has expired or is about to expire.

Company auditors to be approved by Minister charged with responsibility for finance

263. (1) Any person may apply to the Minister charged with the responsibility for finance to be approved as a company auditor for the purposes of this Act.

(2) The Minister may, if he is satisfied that the applicant is of good character and competent to perform the duties of an auditor under this Act, upon payment of the prescribed fee, approve the applicant as a company auditor.

(3) Any approval granted by the Minister under subsection (2) may be made subject to such limitations or conditions as he thinks fit and may be revoked at any time by him by the service of a notice of revocation on the approved person.

(4) Every approval under this section including a renewal of approval of a company auditor shall be in force for a period of two years after the date of issue unless sooner revoked by the Minister.

(5) The Minister may delegate all or any of his powers under this section to any person, or body of persons charged with the responsibility for the registration or control of accountants in Malaysia.

(6) Any person who is aggrieved with any decision of the Minister or with the decision of any person or body of persons to whom such Minister has delegated all or any of his powers under this section may appeal to the Court.

(7) For the purposes of this section, "person" means a chartered accountant as defined under the Accountants Act 1967 [*Act 94*].

Company auditors

264. (1) A person shall not—

(a) knowingly consent to be appointed as an auditor for any company;

(b) knowingly act as an auditor for any company; and

(c) prepare, for or on behalf of a company, any report required by this Act to be prepared by an approved company auditor if—

(i) he is not an approved company auditor;

(ii) he is indebted to the company or to a corporation that is deemed to be related to that company by virtue of section 7 in an amount exceeding twenty-five thousand ringgit;

(iii) he is—

(A) or his spouse is an officer of the company;

(B) a partner, employer or employee of an officer of the company;

(C) a partner or employee of an employee of an officer of the company; or

(D) a shareholder or his spouse is a shareholder of a corporation whose employee is an officer of the company;

(iv) he is responsible for or if he is the partner, employer or employee of a person responsible for the keeping of the register of members or the register of debenture holders of the company;

(v) he is an undischarged bankrupt within or outside Malaysia except with leave of the Court; or

(vi) he has been convicted of any offence involving fraud or dishonesty punishable with imprisonment for three months or more.

(2) For the purposes of subparagraph (1)*(c)*(iii), a person shall be deemed to be an officer of a company if he is an officer of a corporation that is deemed to be related to the company by virtue of section 7 if he has been an officer or promoter of the company or such a corporation at any time within the preceding period of twelve months, unless the Minister directs otherwise.

(3) For the purposes of this section, a person shall not be deemed to be an officer by reason only of him having been appointed as an auditor of a corporation.

(4) A firm of auditors shall not knowingly consent to be appointed, and shall not knowingly act, as an auditor for any company and shall not prepare, for or on behalf of a company, any report required by this Act to be prepared by an approved company auditor unless—

(a) all the partners of the firm resident in Malaysia are approved company auditors and, where the firm is not registered as a firm under any law for the time being in force, a return showing the full names and addresses of all the partners of the firm has been lodged with the Registrar; and

(b) no partner of the firm is disqualified under subsection (1) from acting as the auditor of the company.

(5) A company shall not appoint a person or a firm as an auditor unless prior to the appointment—

(a) that person has consented in writing to act as the auditor; or

(b) in the case of a firm, at least one partner of the firm has consented in writing.

(6) The appointment of a firm in the name of the firm as auditors of a company shall take effect as an appointment as auditors of the company of the persons who are partners of that firm at the time of the appointment.

(7) The appointment of a firm in the name of the limited liability partnership or foreign limited liability partnership as auditors of a company shall take effect as an appointment as auditors of the company as if—

(a) the partners of the limited liability partnership, whether the partners at the time the limited liability partnership was appointed as auditor or later; and

(b) employees of the limited liability partnership who are approved company auditors in that limited liability partnership, whether employed at the time the limited liability partnership was appointed as auditor or later,

are appointed as auditors of the company.

(8) Any person who is or any firm which is appointed as an auditor contravenes subsection (1) or (4) respectively commits an offence and shall, on conviction, be liable to a fine not exceeding one hundred thousand ringgit.

Registration of firms of auditors

265. (1) A new firm of auditors shall notify the Registrar the following particulars within thirty days from the date of commencement of business:

(a) the name of the firm;

(b) the firm number;

(c) the address of the principal place of business and the address of each other's place of business, if any;

(d) the date of commencement of business;

(e) the full names, addresses, approval numbers and other particulars of all the partners; and

(f) such other particulars as the Registrar thinks appropriate.

(2) The notification in subsection (1) shall be in the form as determined by the Registrar.

(3) The Registrar shall cause a register of firms of auditors to be kept and shall cause to be entered in the register in relation to a firm of auditors the particulars referred to in subsection (1).

(4) Where a firm of auditors is reconstituted by reason of retirement, withdrawal or death of a partner or by reason of the admission of a new partner or where there is a change in any particulars relating to the firm or its partners, a notification shall be lodged with the Registrar indicating the relevant alteration and the date of the alteration within thirty days of such alteration.

(5) A report or notice that purports to be made or given by a firm appointed as an auditor of a company shall not be taken to be duly made or given unless—

(a) it is signed in the name of the firm and in his own name by a partner of the firm who is an approved company auditor; and

(b) the firm number and the approval number of the partner is legibly written or printed either under or beside the signature of the firm and the partner respectively.

(6) For the purposes of this section—

(a) "approval number", in relation to an auditor, is the number allocated to that person on the approval granted by the Minister charged with responsibility for finance;

(b) "firm number", in relation to a firm of auditors, is the number allocated by the Registrar to a firm of auditors in the notification under subsection (1); and

(c) "partner", in relation to a firm of auditors, includes a sole proprietor of a firm.

Powers and duties of auditors

266. (1) Every auditor of a company shall report to the members on the financial statements and on the company's accounting and other records relating to those financial statements and if it is a holding company for which consolidated financial statements are prepared shall also report to the members on the consolidated financial statements, and the report shall be—

(a) in the case of a public company, laid before the company at its annual general meeting; or

(b) in the case of a private company—

(i) circulated to its members; or

(ii) laid before the company at a meeting of members.

(2) An auditor shall, in a report under this section, state—

(a) whether the financial statements and, if the company is a holding company for which consolidated financial statement are prepared, the consolidated financial statements are in his opinion properly drawn up—

(i) so as to give a true and fair view of the matters required by section 249 to be dealt with in the financial statement and, if there are consolidated financial statements, in the consolidated financial statements;

(ii) in accordance with this Act so as to give a true and fair view of the company's affairs; and

(iii) in accordance with the applicable approved accounting standards, or in the case where financial statements are required to be prepared for or lodged with the authorities referred to in section 26D of the Financial Reporting Act 1997, such financial statements shall be made in accordance with the applicable approved accounting standards subject to any specifications, guidelines or regulations as may be issued by such authorities;

(b) if in his opinion the financial statements, and where applicable the consolidated financial statements, have not been drawn up in accordance with a particular applicable approved accounting standard—

(i) whether in his opinion the financial statements or consolidated financial statements, as the case may be, would, if drawn up in accordance with that approved accounting standard, have given a true and fair view of the matters required under section 249 to be dealt with in the financial statements or consolidated financial statements;

(ii) if in his opinion the financial statements or consolidated financial statements, as the case may be, would not, if so drawn up, have given a true and fair view of those matters, his reasons for holding that opinion;

(iii) if the directors have given the particulars of the quantified financial effect under section 244, his opinion concerning the particulars; and

(iv) in a case to which neither subparagraph (ii) nor (iii) applies, the particulars of the quantified financial effect on the financial statements or consolidated financial statements of the failure to so draw up the financial statements or consolidated financial statements, as the case may be;

(c) in the case of consolidated financial statements, the names of the subsidiaries, if any, of which he has not acted as auditor;

(d) any defect or irregularity in the financial statements or consolidated financial statements and any matter not set out in the financial statements or consolidated financial statements without regard to which a true and fair view of the matters dealt with by the financial statements or consolidated financial statements would not be obtained; and

(e) if he is not satisfied as to any matter referred to in paragraph *(a)*, *(b)* or *(c)*, his reasons for not being so satisfied.

(3) An auditor of a company shall have a duty to form an opinion to each of the following matters:

(a) whether he has obtained all the information and explanations that he required;

(b) whether proper accounting and other records, including registers, have been kept by the company as required by this Act;

(c) whether the returns received from branch offices of the company are adequate; and

(d) whether the procedures and methods used by a holding company or a subsidiary in arriving at the amount taken into any consolidated accounts were appropriate to the circumstances of the consolidation,

and the auditor shall state in his report the particulars of any deficiency, failure or shortcoming in respect of any matter referred to in this subsection.

(4) An auditor of a company has a right of access at all reasonable times to the accounting and other records, including registers of the company and is entitled to require from any officer of the company and any auditor of a related company such information and explanations as he desires for the purposes of audit.

(5) An auditor of a holding company for which consolidated financial statements are required—

(a) has a right of access at all reasonable times to the accounting and other records, including registers, of any subsidiary, if necessary; and

(b) is entitled to require from any officer or auditor of any subsidiary included in the consolidated financial statements, at the expense of the holding company, such information and explanations in relation to the affairs of such subsidiaries included in the consolidated financial statements.

(6) The auditor's report shall be attached to or endorsed on the financial statements or consolidated financial statements and shall, if any member so requires, be read before the company in general meeting and shall be open for inspection by any member at any reasonable time.

(7) An auditor of a company or his agent authorized by him in writing is entitled to attend any general meeting of the company and to receive all notices of, and other communications relating to any general meeting which a member is entitled to receive, and to be heard at any general meeting which he attends on any part of the business of the meeting which concerns the auditor in his capacity as auditor.

(8) If an auditor, in the course of the performance of his duties as auditor of a company, is satisfied that—

(a) there has been a breach or non-observance of any of the provisions of this Act; and

(b) the circumstances are such that in his opinion the matter has not been or will not be adequately dealt with by comment in his report on the financial statements or consolidated financial statements or by bringing the matter to the notice of the directors of the company or, if the company is a subsidiary, of the directors of its holding company,

he shall forthwith report the matter in writing to the Registrar.

(9) In addition to subsection (8), if an auditor in the course of the performance of his duties as an auditor of a public company or a company controlled by a public company is of the opinion that a serious offence involving fraud or dishonesty is being or has been committed against the company or this Act by officers of the company, he shall forthwith report the matter in writing to the Registrar.

(10) No duty to which an auditor of a company may be subjected to shall be regarded as having been contravened by reason of his reporting the matter referred to in subsection (9) in good faith to the Registrar.

(11) For the purposes of subsection (9)—

(a) a company is presumed, unless the contrary is established, to be controlled by a public company if the public company is entitled to exercise or control the exercise of not less than twenty per centum of votes attached to the voting shares of the company; and

(b) "a serious offence involving fraud or dishonesty" means an offence that is punishable by imprisonment for a term that is not less than two years or the value of the assets derived or likely to be derived or any loss suffered by the company, member or debenture holder from the commission of such an offence exceeds two hundred and fifty thousand ringgit and includes offences under sections 591, 592, 593, 594 and 595.

(12) An officer of a corporation who refuses or fails without lawful excuse to allow an auditor of the corporation, or an auditor of a corporation who refuses or fails without lawful excuse to allow an auditor of its holding company—

(a) to have access to any accounting and other records, including registers of the corporation in his custody or control;

(b) to give any information or explanation as and when required under this section; or

(c) otherwise hinders, obstructs or delays an auditor in the performance of his duties or the exercise of his powers,

commits an offence and shall, on conviction, be liable to imprisonment for a term not exceeding three years or to a fine not exceeding five hundred thousand ringgit or to both.

(13) Any auditor who contravenes subsection (8) or (9) commits an offence and shall, on conviction, be liable to imprisonment to a term not exceeding five years or to a fine not exceeding three million ringgit or to both.

Chapter I

Provisions relating to Auditor of Private Company

Appointment of auditors of private company

267. (1) A private company shall appoint an auditor for each financial year of the company.

(2) Notwithstanding subsection (1), the Registrar shall have the power to exempt any private company from the requirement stated in that subsection according to the conditions as determined by the Registrar.

(3) The Board shall appoint an auditor of the company—

(a) in the case of newly incorporated companies, at least thirty days before the end of the period for the submission of the first financial statements to the Registrar; or

(b) to fill a casual vacancy in the office of auditor.

(4) The members shall appoint an auditor by ordinary resolution—

(a) in the case of subsequent years following the submission of its first financial statements, during the period for appointing auditors; or

(b) if the Board fails to appoint an auditor under subsection (3).

(5) An auditor of a private company shall only be appointed in accordance with subsection (3) or (4).

(6) For the purposes of subsection (4), the period for appointing auditors means the period of thirty days—

(a) before the end of the period allowed for the lodgement of the previous year financial statements with the Registrar under subsection 259(1); or

(b) if the previous year financial statements were lodged earlier, before the day on which financial statements were lodged with the Registrar.

(7) The company and every director of the company who contravene this section commit an offence.

Power of Registrar to appoint auditors of private company

268. If a private company fails to appoint an auditor, the Registrar may appoint one or more auditors upon application in writing from any member of the company.

Term of office of auditors of private company

269. (1) An auditor of a private company shall hold office in accordance with the terms of his appointment, provided that—

(a) he does not take office until the previous auditor cease to hold office, unless he is the first auditor of the company; and

(b) he ceases to hold office thirty days from the circulation of the financial statements to the members unless he is re-appointed.

(2) Notwithstanding paragraph (1)*(a)*, an auditor may take office before the previous auditor ceases office in the following circumstances:

(a) where the previous auditor is not the sole auditor; or

(b) where he is appointed as an additional auditor.

(3) Where the office of an auditor becomes vacant under paragraph (1)*(b)* and no auditor has been appointed by members of the company, the auditor who holds office immediately before the vacancy shall be deemed to be re-appointed, unless—

(a) he was appointed by the Board;

(b) the constitution require actual re-appointment;

(c) the deemed re-appointment is prevented by the members under section 270; or

(d) the members have resolved that he should not be re-appointed.

(4) Subsection (3) is without prejudice to the provisions of this Subdivision as to removal and resignation of auditors.

Prevention by members of deemed re-appointment of auditor

270. (1) An auditor of a private company shall not be deemed to be re-appointed under subsection 269(3) if the company has received notice under this section from members representing at least five per centum of the total voting rights of all members who would be entitled to vote on a resolution that the auditor should not be re-appointed.

(2) A notice under this section—

(a) may be in hard copy or electronic form;

(b) shall be authenticated by each member giving the notice; and

(c) shall be received by the company at least thirty days before the circulation of the financial statements to the members.

Chapter II

Provisions relating to Auditor of Public Company

Appointment of auditors of public company

271. (1) An auditor of a public company shall be appointed for each financial year of the company.

(2) Notwithstanding subsection (1), the Board shall appoint an auditor—

(a) at any time before the first annual general meeting of the company; or

(b) to fill casual vacancy in the office of the auditor.

(3) Any auditor appointed under subsection (2) shall hold office until the conclusion of—

(a) the first annual general meeting for the appointment under paragraph 2*(a)*; or

(b) the next annual general meeting for the appointment under paragraph 2*(b)*.

(4) The members shall appoint an auditor by ordinary resolution—

(a) at the annual general meeting;

(b) if the company should have appointed an auditor at an annual general meeting but failed to do so; or

(c) if the Board fails to appoint an auditor under subsection (2).

(5) An auditor of a public company should only be appointed in accordance with subsection (2) or (4).

(6) The company and every officer who contravene this section commit an offence.

Power of the Registrar to appoint auditors of public company

272. If a public company fails to appoint an auditor, the Registrar may appoint one or more auditors upon application in writing from any member of the company.

Term of office of auditors of public company

273. The auditor of a public company shall hold office in accordance with the terms of his appointment, provided that—

(a) he does not take office until the previous auditor has ceased to hold office unless he is the first auditor of the company, and

(b) he ceased to hold office at the conclusion of the annual general meeting next following his appointment, unless he is re-appointed.

Chapter III

General Provisions relating to Auditors

Fixing of auditor's remuneration

274. (1) The remuneration of an auditor appointed—

(a) by the members of a company shall be fixed by the members by ordinary resolution or in such manner as the members may determine;

(b) by the Board shall be fixed by the Board and if not so fixed, by the company; or

(c) by the Registrar shall be fixed either by the Registrar or the Board and if not so fixed, by the company.

(2) In this section, "remuneration" includes sums paid in respect of expenses and payment otherwise than cash.

Obligation to furnish particulars of payment made to auditors

275. (1) If a company is served with a notice sent by or on behalf of at least five per centum of the total number of members of the company or the holders in aggregate of not less than five per centum of the company's issued share capital, requiring particulars of all remuneration paid to or receivable by the auditor of the company, a partner, an employer or an employee of the auditor, by or from the company or any subsidiary in respect of services other than auditing services rendered to the company, the company shall forthwith—

(a) prepare or cause to be prepared a statement showing particulars of all the remuneration paid to or receivable by the auditor, partner, employer or employee of the auditor and of the services in respect of which the payments have been made for the financial year immediately preceding the service of the notice;

(b) forward a copy of the statement to all persons entitled to receive notice of general meetings of the company; and

(c) in the case of a public company, lay the statement before the company in general meeting.

(2) The company and every officer who contravene this section commit an offence.

Resolution to remove auditor from office

276. (1) The members of a company may remove an auditor from office at any time—

(a) by ordinary resolution at a general meeting; and

(b) in accordance with section 277.

(2) This section shall not be taken as depriving the person removed of the compensation or damages payable to him in respect of the termination of his appointment as an auditor.

(3) An auditor may not be removed from office before the expiration of his term of office except by resolution under this section.

Special notice required for resolution to remove auditor from office

277. (1) A special notice shall be required for a resolution to remove an auditor from office at a general meeting of a company.

(2) Upon receipt of the special notice of such an intended resolution, the company shall immediately send a copy of the notice to the auditor proposed to be removed and the Registrar.

(3) The auditor may make a representation in writing not exceeding a reasonable length to the company within seven days from the receipt of the special notice and may request that prior to the meeting at which the resolution is to be considered, a copy of the representation be circulated by the company to every member of the company to whom notice of the meeting is sent.

(4) Upon request of the auditor referred to in subsection (3), the company shall send a copy of the representation to every member of the company to whom notice of the meeting is sent.

(5) If a copy of the representation is not sent as required under subsection (4), the auditor may, without prejudice to his right to be heard orally, require that the representation be read out at the meeting.

(6) A copy of the representation need not be circulated and the representation need not be read at the meeting if, on the application either of the company or of any other person claiming to be aggrieved, the Court is satisfied that the auditor is using this section to secure needless publicity or the matter is defamatory or some other grounds that the Court thinks reasonable.

Notice to Registrar of resolution to remove auditor from office

278. (1) If a resolution is passed under section 276, the company shall give a notice of that fact to the Registrar within fourteen days.

(2) The company and every officer who contravene this section commit an offence.

Procedure to appoint auditor by written resolution

279. (1) This section applies where a resolution is proposed as a written resolution of a private company the effect of which would be to appoint a person as an auditor in place of an outgoing auditor.

(2) The company shall send a copy of the proposed resolution to the person proposed to be appointed as an auditor and to the outgoing auditor.

(3) The outgoing auditor may make a statement in writing explaining the circumstances connected with his resignation not exceeding a reasonable length to the company within fourteen days from receiving the proposed resolution referred to in subsection (1) and may request a copy of the statement to be sent to every member of the company.

(4) The company shall send a copy of the statement to every member of the company to whom resolution under this section has been circulated prior to the period for agreeing to written resolution.

(5) The company shall circulate the resolution in accordance with section 301 or 303 and where this subsection and subsection (4) apply—

(a) the period allowed under subsection 303(3) for service of copies of the proposed resolution is twenty-eight days instead of twenty-one days; and

(b) subsections 303(5) and (6) shall apply in relation to a failure to comply with that subsection.

(6) A copy of the statement need not be circulated if, on the application either of the company or of any other person claiming to be aggrieved, the Court is satisfied that the auditor is using this section to secure needless publicity or the matter is defamatory or other grounds that the Court thinks reasonable.

Procedure to appoint auditor at a meeting of members

280. (1) This section applies to a resolution at a general meeting of a company the effect of which is to appoint a person as an auditor in place of an outgoing auditor.

(2) A special notice is required of such a resolution if—

(a) in the case of a private company—

(i) no period for appointing auditor has ended since the outgoing auditor ceased to hold office due to his resignation or removal; or

(ii) such a period has ended and an auditor should have been appointed but is not appointed; or

(b) in the case of a public company—

(i) no annual general meeting is held since the outgoing auditor ceased to hold office due to his resignation or removal; or

(ii) an annual general meeting is held at which an auditor should have been appointed but is not appointed.

(3) Upon receipt of notice of such a proposed resolution, the company shall immediately send a copy of the notice to the person proposed to be appointed as an auditor.

Resignation of auditor

281. (1) An auditor of a company may resign his office by giving a notice in writing to that effect to the company at its registered office.

(2) A notice of resignation under subsection (1) shall bring the auditor's term of office to an end after twenty-one days from which the notice is given or from the date as may be specified in the notice.

Notice of resignation of auditor to Registrar

282. (1) Where an auditor resigns his office, the company shall send a copy of the notice to the Registrar within seven days from the receiving of a notice of resignation.

(2) The company and every officer who contravene this section commit an offence.

Rights of resigning auditor of a public company

283. (1) This section applies where the notice of resignation of an auditor of a public company is accompanied with a statement of the circumstances connected with his resignation.

(2) The auditor may give the notice of resignation referred to in section 281 together with a signed requisition calling on the directors of the company to immediately convene a general meeting of the company for the purposes of receiving and considering the explanation of the circumstances connected with his resignation as he may wish to place before the meeting.

(3) The auditor may request the company to circulate a statement in writing not exceeding a reasonable length of the circumstances connected with the auditor's resignation to its members—

(a) before the meeting convened on auditor's requisition; or

(b) before any general meeting at which the auditor's term of office would otherwise have expired or at which it is proposed to fill the vacancy caused by his resignation.

(4) The company shall—

(a) state the fact that the statement referred to in subsection (3) has been made in any notice of the meeting given to members of the company; and

(b) send a copy of the statement to every member of the company to whom notice of the meeting is or has been sent.

(5) The directors shall hold the general meeting required under this section within twenty-eight days from the date of the receipt of the notice of a requisition made under subsection (2).

(6) If a copy of the statement referred to in subsection (4) is not sent as required due to the default of the company, the auditor may, without prejudice to his right to be heard orally, require that the statement be read out at the meeting.

(7) A copy of a statement need not be sent and the statement need not be read out at the meeting if, on the application either of the company or of any other person who claims to be aggrieved, the Court is satisfied that the auditor is using this section to secure needless publicity or the matter is defamatory.

(8) The Court may order the company's costs on such an application to be paid in whole or in part by the auditor, notwithstanding that the auditor is not a party to the application.

(9) An auditor who has resigned has, notwithstanding his resignation, the rights conferred by section 285 in relation to any general meeting of the company as mentioned in paragraph (3)*(a)* or *(b)*.

(10) In this section, any reference in section 285 to matters concerning the auditor as an auditor shall be construed as references to matters concerning the auditor as a former auditor.

(11) Every director who fails to take all reasonable steps to secure that a meeting is convened under subsection (5) commits an offence.

Duty to inform upon cessation of office

284. If an auditor has made written representation to the company under subsection 277(3) or if an auditor gives notice to the directors of the company under subsection 281(1), the auditor shall—

(a) submit a copy of the written representation or his statement of circums tances connected w ith his resignation to the Registrar; and

(b) in the case of a company whose shares or debentures are quoted on a stock exchange, submit a copy of the statement of the stock exchange,

within seven days from the submission of the written representation or his notice of resignation.

Attendance of auditors at general meetings where financial statements are laid

285. (1) An auditor of a public company shall attend every annual general meeting where the financial statements of the company for a financial year are to be laid, so as to respond according to his knowledge and ability to any question relevant to the audit of the financial statements.

(2) In the case of a private company, if due notice is given to an auditor of the intention to move a resolution requiring the presence of the auditor at a general meeting of the company where financial statements of the company for any financial year are to laid, the auditor shall attend that meeting so as to respond according to his knowledge and ability to any question relevant to the audit of the financial statements.

(3) An auditor who fails to attend a meeting as required under subsection (1) or (2) commits an offence unless—

(a) the auditor is prevented by circumstances beyond his control from attending the meeting;

(b) the auditor arranges for another auditor with knowledge of the audit to attend and carry out the duties of the auditor at the meeting;

(c) if the auditor is a partner of a firm, the person attending the meeting in place of the designated auditor is a partner of that firm; or

(d) the auditor arranges for an agent authorized by the auditor in writing to attend and carry out the duties of the auditor at the meeting.

Auditor and other person to enjoy qualified privilege in certain circumstances

286. (1) An auditor shall not, in the absence of malice on his part, be liable to any action for defamation at the suit of any person in respect of any statement which he makes in the course of his duties as an auditor, whether the statement is made orally or in writing.

(2) A person shall not, in the absence of malice on his part, be liable to any action for defamation at the suit of any person in respect of the publication of any document prepared by an auditor in the course of his duties and required under this Act to be lodged with the Registrar.

(3) An auditor shall not be liable to be sued in any court or be subject to any criminal or disciplinary proceedings for any report under section 266 submitted by the auditor in good faith and in the intended performance of any duty imposed on the auditor under this Act.

(4) This section does not limit or affect any other right, privilege or immunity that an auditor or other person has as defendant in an action for defamation.

Duties of auditors to trustee for debenture holders

287. (1) The auditor of a borrowing corporation shall send a copy of the financial statements or any report, certificate or other document which the auditor is required by this Act or by the debentures or trust deed to give to the corporation to every trustee for the debenture holders of the borrowing corporation by post within seven days from furnishing the corporation with any financial statements or any report, certificate or other document which he is required by this Act or by the debentures or trust deed to give to the corporation.

(2) Where in the performance of his duties as an auditor of a borrowing corporation, the auditor becomes aware of any matter which is in his opinion relevant to the exercise and performance of the powers and duties imposed by this Act or by any trust deed upon any trustee for the debenture holders of the corporation, the auditor shall send by post a report in writing on the matter to the borrowing corporation and a copy of the report to the trustee within seven days from the auditor becoming aware of the matter.

(3) An auditor shall not be liable to be sued in any court or be subject to any criminal or disciplinary proceedings for any report under section 266 submitted by the auditor in good faith and in the intended performance of any duty imposed on the auditor under this Act.

(4) Any auditor who contravenes this section commits an offence and shall, on conviction, be liable to a fine not exceeding ten thousand ringgit and, in the case of a continuing offence, to a further fine of five hundred ringgit for each day during which the offence continues after conviction.

Division 4

Indemnity and Insurance for Officers and Auditors

Provisions indemnifying directors or officers

288. Any provision, whether contained in the constitution or in any contract with a company or otherwise, for exempting any officer or auditor of the company from, or indemnifying him

against, any liability which by law would otherwise attach to him in respect of any negligence, default, breach of duty or breach of trust, of which he may be guilty in relation to the company, shall be void.

Indemnity and insurance for officers and auditors

289. (1) Unless provided otherwise in this section, a company shall not indemnify or directly or indirectly effect insurance for an officer or auditor of the company in respect of—

(a) the liability for any act or omission in his capacity as an officer or auditor; or

(b) the costs incurred by that officer or auditor in defending or settling any claim or proceedings relating to any such liability.

(2) An indemnity given in breach of this section shall be void.

(3) A company may indemnify an officer or auditor of the company for any costs incurred by him or the company in respect of any proceedings—

(a) that relates to the liability for any act or omission in his capacity as an officer or auditor; and

(b) in which judgment is given in favour of the officer or auditor or in which the officer or auditor is acquitted or in which the officer or auditor is granted relief under this Act, or where proceedings are discontinued or not pursued.

(4) A company may indemnify an officer or auditor of the company in respect of—

(a) any liability to any person, other than the company, for any act or omission in his capacity as an officer or auditor; and

(b) costs incurred by that director or officer or auditor in defending or settling any claim or proceedings relating to any such liability except—

(i) any liability of the director to pay—

(A) a fine imposed in criminal proceedings; or

(B) a sum payable to a regulatory authority by way of a penalty in respect of non-compliance with any requirement of a regulatory nature, however arising; or

(ii) any liability incurred by the director—

(A) in defending criminal proceedings in which he is convicted; or

(B) in defending civil proceedings brought by the company, or an associated company, in which judgment is given against him; or

(c) in connection with an application for relief under this Act.

(5) A company may, with the prior approval of the Board, effect insurance for an officer or auditor of the company in respect of—

(a) civil liability, for any act or omission in his capacity as a director or officer or auditor; and

(b) costs incurred by that officer or auditor in defending or settling any claim or proceeding relating to any such liability; or

(c) costs incurred by that officer or auditor in defending any proceedings that have been brought against that person in relation to any act or omission in that person's capacity as an officer or auditor—

(i) in which that person is acquitted;